

37	3.66	3.81	3.80	3.14	1.98	3.06	63
38	3.65	3.78	3.77	3.09	1.93	2.99	62
39	3.63	3.76	3.74	3.03	1.88	2.91	61
40	3.62	3.74	3.72	2.98	1.83	2.84	60

We can observe a number of important points about asset allocation with this table. For instance, a 100 percent bond allocation supports a higher withdrawal rate than a 100 percent stock allocation until the time horizon is thirteen years. Beyond that point, 100 percent stocks supports a higher withdrawal rate than 100 percent bonds. With shorter time horizons, bonds more effectively lock in a goal at a higher withdrawal rate with less risk. But as the horizon lengthens, the amount that can be safely supported with bonds declines. Eventually, stocks are able to support more spending despite their greater volatility.

Nonetheless, diversification is important. A 50/50 asset allocation always supports a higher SAFEMAX than 100 percent stocks at all time horizons, and it supports a higher SAFEMAX than 100 percent bonds after a time horizon of six years.

We can also see a rule of thumb developing about the historical SAFEMAXs for a 50/50 portfolio as they relate to the time horizon. The SAFEMAX is about 8 percent for ten-year horizons, 6 percent for fifteen, 5 percent for twenty, and 4 percent for thirty years.

Exhibit 5.24 provides a visual comparison between the SAFEMAX for a 50/50 asset allocation calibrated to a planning age of one hundred, and the RMD rules. These curves are relatively close together, but the RMDs become more conservative as you approach age one hundred. This makes sense, since as you approach the planning age, it becomes increasingly likely that you will live beyond it. RMDs are also more conservative until about age seventy-five, implying lower spending than historical SAFEMAXs for the early part of retirement. Using the RMD rules to set withdrawal rates for each year of retirement presents a viable alternative to using constant inflation-adjusted withdrawal amounts. I will return to this topic in the next chapter when I discuss variable spending strategies. The